Non availability of consumer goods

The multiplier theory assumes instantaneous supply of consumer goods following demand. But there is often a time lag. During this gap (D>S) inflation is likely to rise. This reduces the consumption expenditure and thereby multiplier value.

Full employment situation

Under conditions of full employment, resources are almost fully employed. So, additional investment will lead to inflation only, rather than generation of additional real income.

4.4.6. Uses of multiplier

1. Multiplier highlights the importance of investment in income and employment theory.

2. The process throws light on the different stages of trade cycle.

3. It also helps in bringing the equality between **S** and **I**.

4. It helps in formulating Government policies.

5. It helps to reduce unemployment and achieve full employment.

KINDS OF MULTIPLIER

1. Tax multiplier
2. Employment multiplier
3. Foreign Trade multiplier
4. Investment Multiplier

4.5 The Accelerator Principle

The origin of accelerator principle can be traced back in the writings of Aftalion (1909), Hawtrey (1913) and Bickerdike(1914). However, the systematic development of the simple accelerator model was made by J.M.Clark, in 1917. It was further developed by Hicks, Samuelson and Harrod in relation to the business cycles.

4.5.1. Meaning

A given increase in the demand for consumption goods in the economy generally leads to an accelerated demand for machineries (investment goods). Accelerator is the numerical value of the relation between an increase in consumption and the resulting increase in investment.

Accelerator Effects

Increase in consumer demand → Firms get close to fill capacity → Firms invest to meet rising demand

$$\text{Accelerator } (\beta) = \frac{\Delta I}{\Delta C}$$

ΔI = Change in investment outlays (Say 100)

ΔC = Change in consumption demand (Say 50)

The accelerator expresses the ratio of the net change in investment to change in consumption.

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